

Island Economy Exercise

Macroeconomics Scarcity and Choice

Group Members: _____

Part A: Scarcity and Trade-Offs (Round 1)

Your group has **10 resource tokens**. You can allocate them to produce **Fish** or **Shelters**:

- 1 token = 1 Fish
- 2 tokens = 1 Shelter

Decision:

- Fish Produced: _____
- Shelters Produced: _____

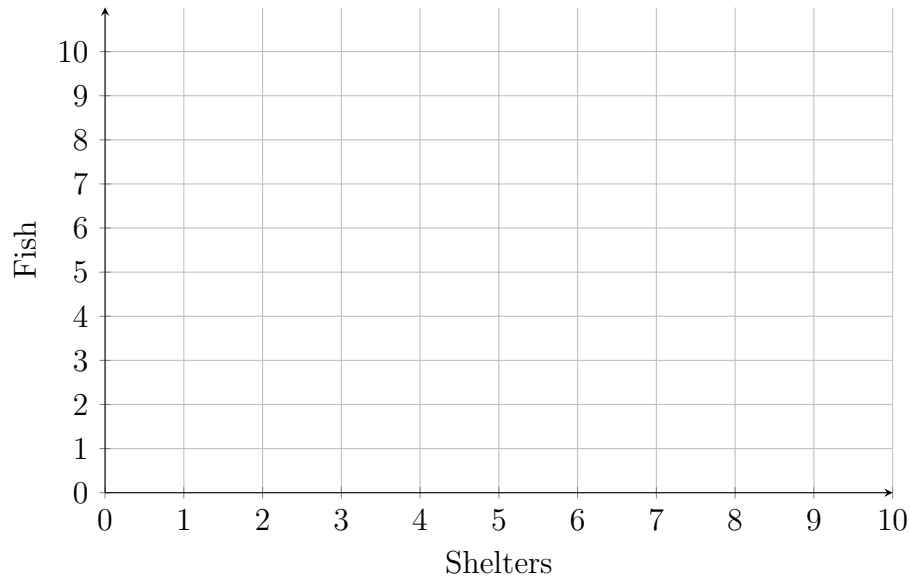
Questions:

1. What trade-off did you face when allocating tokens?
2. If you wanted 1 more shelter, what would you have to give up? (Opportunity Cost)

Part B: Production Possibilities Frontier (PPF)

Use the graph below to plot all possible combinations of Fish and Shelters your group could produce with 10 tokens.

Example: 0 Shelters $\rightarrow$ 10 Fish; 1 Shelter $\rightarrow$ 8 Fish; etc.



Part C: Specialization and Trade (Round 2)

Now, some groups have **Fishing Advantage** (1 token = 2 Fish), while others have **Shelter Advantage** (1 token = 1 Shelter). Work with another group to specialize and trade.

Record Before Trade:

- Fish = _____, Shelters = _____

Record After Trade:

- Fish = _____, Shelters = _____

Questions:

1. How did specialization change your production?
2. Did trade make your group better off? Why or why not?

Part D: Economic Shocks (Round 3)

Suppose a storm destroys half of all shelters on the island.

1. How does this change the value of Fish vs. Shelters?
2. If a new fishing net doubles fishing productivity, how does this shift the PPF?

Reflection Questions

1. How does this exercise illustrate the concept of **scarcity**?
2. How does the PPF show **opportunity costs**?
3. Why do countries specialize and trade in the real world?
4. What happens to an economy's choices when technology or resources change?